NOT REPORTABLE

WILSON TENDAI NYABONDA
versus
ARISTON HOLDINGS LIMITED
and
LEON NORTIER

HIGH COURT OF ZIMBABWE
MUNANGATI- MANONGWA J
HARARE, 26 September 2025

Court Application

M Sachikonye, for the applicant
T C Hungwe, for the respondent

MUNANGATI- MANONGWA J: This is an application for debt attachment by the applicant, against the Judgment Debtor and the Garnishee. The applicant seeks to recover an outstanding debt in the amount of US $28,000.00, along with collection commission and legal costs.

FACTUAL BACKGROUND

On 24 August 2016, the applicant secured a default judgment against Leon Nortier and African Farmer Private Limited for the payment of US$123,000.00, inclusive of a 10% collection commission and costs on a higher scale. Following the judgment, the applicant obtained a writ of execution on 15 September 2016.

The Judgment Debtor subsequently left Zimbabwe, allegedly to evade payment. The applicant managed to partially satisfy the debt by recovering a planter and successfully attaching a debt owed to the Judgment Debtor by SeedCo Zimbabwe (Private) Limited under case number HC12130/16. As of July 2017, the outstanding amount was US$28,000.00, plus the collection commission and costs.

In March 2024, the Judgment Debtor was appointed Chief Executive Officer of the Garnishee. By virtue of such employment the Garnishee pays salaries, allowances, and benefits to the judgment debtor.

The applicant seeks an order compelling the Garnishee to pay the outstanding amount, along with the collection commission and legal costs from monies due the judgment debtor. The Judgment Debtor contends that he was unaware of the court process and claims he was never served with summons for case HC6758/16. He disputes the enforceability of the judgment debt, asserting that due to changes in the law, the debt is no longer payable in United States dollars. The Judgment Debtor has requested a detailed account of the outstanding amount to facilitate payment, but claims to have encountered resistance.

ISSUE FOR DETERMINATION

1. Whether or not statutory instruments SI 33 of 2019 and SI 142 of 2019 affect the enforceability of debts incurred prior to these regulations, particularly those in United States dollars?

APPLICATION OF LAW TO THE FACTS

Whether or not statutory instruments SI 33 of 2019 and SI 142 of 2019 affect the enforceability of debts incurred prior to these regulations, particularly those in United States dollars?

The introduction of statutory instruments SI 33 of 2019 and SI 142 of 2019 established the RTGS dollar as the sole legal tender in Zimbabwe. However, the reintroduction of the United States dollar as legal tender in 2020 raises questions regarding obligations incurred prior to these changes.

The applicability of these regulations to judgment debts, particularly whether they can be enforced in the currency specified in the original judgment, is crucial to this case. In the case of *Hamilton Insurance (PRIVATE) Limited* v *Nomatter Makiwa and Anor HH 63/23* this court made a finding that the 1st respondent acted *ultra vires* S.I. 33/2019 by enforcing a garnishee order against monies owing to applicant in United States dollars for payment of an amount valued in RTGS in terms of S.I. 33/2019. The learned Judge in that case went on further to explain that in 2019, the Government of Zimbabwe enacted two significant statutory instruments that fundamentally transformed the nation's currency regime. On 22 February 2019, the introduction of the Real Time Gross Settlement Electronic dollar (RTGS) was formalized through the Presidential Powers (Temporary Measures) (Amendment of Reserve Bank of Zimbabwe Act and Issue of Real Time Gross Settlement Electronic Dollars (RTGS Dollars)) Regulations, 2019 (hereinafter referred to as S.I. 33 of 2019). This regulation was gazetted on the same date, establishing it as the first effective date as

delineated in the Finance Act (No. 2) Act, No. 7 of 2019 (the Finance Act). During this initial phase, the RTGS dollar operated alongside other currencies recognized as legal tender under a multi-currency framework. Subsequently, on 24 June 2019, the Minister of Finance and Economic Development promulgated Statutory Instrument 142 of 2019 (Reserve Bank of Zimbabwe (Legal Tender) Regulations, 2019), referred to as S.I. 142 of 2019, which was gazetted on that date and designated as the second effective date per the Finance Act. This instrument abolished the existing multi-currency system and established the ZWL as the sole legal tender in Zimbabwe. Both statutory instruments were later incorporated into the Finance Act, gazetted on 21 August 2019, specifically within sections 22 and 23, which clarify the issuance and legal tender status of the RTGS dollar, stipulating that all assets and liabilities previously denominated in United States dollars would be converted to RTGS dollars at a one-to-one rate as of the first effective date, thus ensuring legal clarity in financial obligations.

In *Zambezi Gas Zimbabwe P/L v N.R Barber P/L and Anor* SC 3/20 the court indicated that:

> "Once a conversion of the value of an asset or liability denominated in United States dollars is made to the value of RTGS dollars, the converted value remains the same, as the two different currency denominations both carry value. No exchange rate can be applied as the judgment debt remains a judgment debt with a value after it is converted to the local currency. The RTGS dollar has the value given under the one-to-one rate and it remains on that value even after the effective date. The first respondent and likewise the court a *quo* were wrong at law in trying to find parity by adding value on the RTGS dollar through the interbank rate. Section 4(1) (d) of S.I. 33/19 states that for such *sui generis* liabilities, including judgment debts, a rate of one-to-one between the United States dollar and the RTGS dollar will apply. The transactions entered into after the effective date would fall under the provisions of section 4(1) (e) of S.I. 33/19."

Given the aforegoing, the monies owed to the judgment debtor in this case, cannot be paid in United States dollars. The introduction of statutory instruments SI 33 of 2019 and SI 142 of 2019 established the RTGS dollar as the sole legal tender in Zimbabwe.

The judgment debtor's claims regarding lack of awareness of court proceedings and service of summons does not invalidate the judgment which was granted in default. The judgment secured by the applicant remains valid; however, the mode of enforcement must align with current currency regulations as established by the statutory instruments. The court's duty in this case is to consider whether the applicant can enforce the outstanding judgment in United States dollars or if it must be converted to RTGS dollars as mandated by the statutory instruments.

DISPOSITION

The court acknowledges the implications of Statutory Instruments SI 33 of 2019 and SI 142 of 2019, which establish the RTGS dollar as the sole legal tender in Zimbabwe for monies owed before 2019. The court finds that these statutory provisions must be applied to ensure compliance with the current legal framework governing currency. In that regard a garnishee order cannot be granted for USD$28000 without an alternative in the currency currently in use.

Accordingly, it is ordered that:

1. The application for debt attachment is dismissed.
2. Each party to bear its own costs.

MUNANGATI- MANONGWA J……

Sachikonye-Ushe,Legal Practice applicant's legal practitioners
Samukange Hungwe Attorneys, respondent's legal practitioners